



and FY20, the combined annual profit after tax (PAT) of the 58 listed PSU stocks on the BSE PSU index had hovered in the range of ₹1-1.5 lakh crore. But profitability has gained momentum since, and in FY24, the combined PAT was ₹5.15 lakh crore, registering 367% growth in the past four years. Profit levels at several PSUs, too, have surged in the past 10 years. The top performers are Life Insurance Corporation of India (profit surged 24x), Bharat Petroleum Corporation (6x), and Indian Oil Corporation (6x).

PSUs have also become wealth generators for the government by providing record taxes and dividend, along with a high market valuation—should the government choose to disinvest. ACE Equity data shows that since FY20, 54 PSUs have registered a 259% increase in taxes paid, at ₹1.61 lakh crore in FY24. Additionally, in FY23, PSUs contributed ₹77,000 crore to the government's coffers, registering an increase of 72% since FY20. According to Budget documents, in FY22, there were 201 PSUs among the 1.03 million companies that filed electronic tax returns. Their share in total profits was 17.46% and their share in the total tax liability was 13.07%.

THE ROAD AHEAD

What does the future hold for PSUs? Sobti of SCOPE says PSUs have emerged as world-class institutions. Some other factors will enable

them to maintain momentum on the productivity and efficiency fronts. These include effective productivity because of economies of scale, exploring newer export markets, investments in skilling of employees, and any move towards energy transition to meet net zero goals. "Recognising the power of innovation, PSUs are making investments in R&D as well, which can be seen from the fact that while the nation spends less than 1% of its GDP on R&D, some PSUs like HAL, Bharat Dynamics, BHEL, Coal India etc. are spending 2-9% of their revenue on R&D," he says.

Singh of Angel One is also optimistic. "Stronger balance sheets and sizeable order books for the foreseeable future bode well for these companies but ultimately, going forward, execution will hold the key for future performance," he says. The Budget holds promise for many of these companies, so the way forward looks exciting, he adds.

Deepak Jasani, Head of Retail Research at HDFC Securities, however says no specific sops to PSUs for manufacturing have been provided in Budget 2024-25. The bullish commodity cycle, increased orders from the government, Make in India initiative, greater freedom to PSUs, and stiff targets for revenue and profits from them are some key reasons for the improvement in their performance. PSUs are riding the momentum of revenue and profit growth, he says. Unless the reasons stated above abate

or reverse, there is no reason for the growth momentum to stall or reverse, though there may be a change in the pace, he adds.

While a majority of experts are positive on the profit outlook for PSUs, some are concerned about the higher stock valuation, which might hinder their market performance in the short term. Overall, those tracking PSUs can look forward to an exciting journey. **BT**

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